

01. Development

Notes –

Development – Development is a process in which an economy or the aspect of economy can be witnessed having achievement to certain goals.

Characteristics of development –

- Development is both visible and invisible.
 - Visible: When in an economy the production, the output is witnessed to be increasing such term is called growth.
 - Invisible: There are certain aspects like growth in health, demography, occupational structure, advancement in technology that contributes to invisible development.
- Development differs from person to person and country to country which depends upon different rate of progress.
- Development is goal oriented – development can be noticed when an economy has a defined set of objectives/goals.
- Development is multi-dimensional – when we see a nation being developed, we consider its development in respect to demography, GDP, standard of living of its citizens.
- Development is a continuous process – the process of development is never ending and continuous in nature. The process continues unless certain goals are defined.

[i] Per capita Income – Per capita income is the ratio between national income of a country to its total population.

- National Income – NNP_{FC}
- Total population includes everyone.

$$\text{Per capita income} = \frac{NNP_{FC}}{\text{Total Population}}$$

The growth in per capita income identifies development of the nation.

[ii] Public Amenities – Public amenities include the comfort and refreshments in basic facilities provided by the government of a particular place.

It includes –

- i. Parks
- ii. Museums
- iii. Bridges
- iv. Tourism, etc.

[iii] Public Facilities – It includes the basic necessities provided by the government to maintain social equity of a particular region.

It includes facilities relevant to –

- i. Water supply
- ii. Electricity
- iii. Sanitation
- iv. Drainage
- v. Road, etc.

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[iv] Human Development –

- PDS: Public Distribution System, health and nutrition programs campaigned by the government are pivot factors that determines the development of the nation.

Human Development is the process of continuously growing and enhancing human resource of a country by providing skillful training, education, health facilities and decent employment opportunities to them. It is possible by the way called Human Capital Formation.

- Following are the key aspects of human development:

- i. Education: Proper and universalization of education is the apex factor responsible for human development. In India, Right to Education (RTE), Sarva Shiksha Abhiyan are the important steps taken by the government. Apart from it, higher education system (UGC) also plays a vital role in guiding education system.
- ii. Health Care Facilities: Public hospitals, dispensaries are established to attain the provision of basic healthcare facilities to children and adults. It is believed that a sound mind resides in a sound body.

[v] Sustainable Development – Sustainable development is the process of development which keeps on going without sacrificing with the future needs for resources. It is a process which tends to utilization of resource in such judicious way that the upcoming generation may not get scarce or shortage of it.

Exercise Questions (Limited) –

4. What is the main criterion used by the World Bank in classifying different countries? What are the limitations of this criterion, if any?

- Main Criterion:

The World Bank uses Per Capita Income (Average Income) as its primary criterion for classifying countries in its World Development Reports. Countries are categorized as rich/high-income or low-income based on specific thresholds of per capita income measured in US dollars.

- Limitations of this Criterion:

- Hides Disparities: Per capita income only shows the average; it tells us absolutely nothing about how that income is actually distributed among people. A country might have a high average income, but the wealth could be concentrated in the hands of a few rich individuals while the majority remain poor.
- Ignores Quality of Life Indicators: It strictly looks at the economic aspect and ignores other vital non-material developmental goals, such as health (infant mortality rate), education (literacy rate), life expectancy, and environmental quality.

6. Why do we use averages? Are there any limitations to their use? Illustrate with your own examples related to development.

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- Why we use averages:

We use averages because comparing total values (like National Income) between different groups is often misleading. For example, comparing the total income of two countries isn't helpful because a country with a larger population will naturally have a higher total income. Averages (like per capita income) level the playing field, making comparisons easier.

- Limitations:

As mentioned above, averages hide the true distribution of wealth or data.

- Example related to development:

Imagine two countries, Country A and Country B, each with 5 citizens.

- Country A's monthly incomes: ₹9,500, ₹10,500, ₹9,800, ₹10,000, ₹10,200. (*Average = ₹10,000*)
- Country B's monthly incomes: ₹500, ₹500, ₹500, ₹500, ₹48,000. (*Average = ₹10,000*)
- Both have the exact same average income, yet some citizens of Country B are individually poor whereas Country A citizens have equitable distribution of wealth.

9. Why is the issue of sustainability important for development?

The issue of sustainability is crucial because development must not come at the cost of the future.

*Resource Depletion: Rapid economic growth often relies on the over-extraction of natural resources (like groundwater and fossil fuels). If we exhaust these resources, future economic growth will grind to a halt.

- Environmental Degradation: Industrial and economic expansion can lead to pollution and climate change, which eventually harms the health and livelihood of citizens, undoing the very "progress" development was supposed to bring.
- Intergenerational Equity: Sustainable development ensures that we meet the needs of the present generation *without* compromising the ability of future generations to meet their own needs.

10. "The earth has enough resources to meet the needs of all but not enough to satisfy the greed of even one person." How is this statement relevant to the discussion of development? Discuss.

This famous quote by Mahatma Gandhi is highly relevant to the concept of sustainable development.

- Need vs. Greed: When development is driven by basic human needs, the Earth's natural resources are entirely sufficient to support the global population. However, when development is driven by "greed"—meaning excessive, unchecked consumption and over-exploitation—resources deplete rapidly.

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- The Consequence of Greed: Treating natural resources as infinite commodities to be maximized for short-term profit leads to deforestation, loss of biodiversity, and irreversible climate damage.
- The Takeaway: To achieve true, long-lasting development, humanity must shift from a mindset of limitless exploitation to one of conscious conservation.

11. List a few examples of environmental degradation that you may have observed around you.

(Note: You can pick the ones most relevant to your surroundings, but here are the most common examples)

- Air Pollution: Smoke and emissions from vehicles, factories, or seasonal stubble burning (especially common in parts of North India).
- Water Pollution: Industrial waste or untreated sewage being dumped directly into local rivers, lakes, or ponds.
- Groundwater Depletion: Water tables dropping significantly due to over-pumping via borewells for agriculture and rapid urban construction.
- Deforestation: The cutting down of local trees and clearing of green belts to build new housing societies, roads, or commercial spaces.
- Soil Degradation: The loss of soil fertility in agricultural lands due to the overuse of chemical fertilizers and pesticides.

Questions and Answers (Inside) –

1. What do you mean by National Development? Write down the characteristics of a developing nation.

National Development is a positive process aimed at enhancing the overall quality of life for all citizens by expanding economic opportunities, improving education and healthcare, and ensuring social justice.

Focusing on their growth potential, the characteristics of a developing nation include:

- High Growth Potential: Rapidly expanding industrial and service sectors that create new opportunities.
- Improving Living Standards: Steady advancements in literacy rates, healthcare access, and basic infrastructure.
- A Dynamic Workforce: A large, youthful population that drives future innovation, productivity, and domestic markets.

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2. Differentiate between social development and economic development.

Social Development	Economic Development
i. Focuses on the increase in real national income	i. Focuses on the well-being of the people and quality of life
ii. Measured by GDP, GNI, and Per Capita Income	ii. Measured by literacy rates, health facilities and gender equality
iii. It is quantitative in nature	iii. It is qualitative in nature

3. Differentiate between growth and development.

Growth	Development
[i] Increase in a country's income/output	[i] Development refers to growth with equity as well as structural change in the economy
[ii] Increase in GDP of the nation with respect to time	[ii] Increase in GDP along with standard of living contributes to national development
[iii] Growth is a narrower concept	[iii] Development is a wider concept
[iv] Merely growth does not mean country is developing	[iv] Development includes growth as well
[v] For example – Increase in national income	[v] For example – Increase in per capita income

OR

- Growth is a quantitative concept. It refers specifically to an increase in the total output of goods and services (GDP) in an economy over a period.
- Development is a qualitative concept. It is a broader term that includes growth plus changes in the social and economic structure, such as better healthcare and reduced poverty.
- Relationship: Growth can occur without development (if the wealth stays with a few), but development usually requires growth to sustain improvements.

4. What is sustainable development? Write down the parameters of sustainable development.

Sustainable Development is development that meets the needs of the present generation without compromising the ability of future generations to meet their own needs.

Parameters of Sustainable Development:

- Resource Conservation: Using non-renewable resources judiciously to prevent their rapid depletion.
- Environmental Protection: Minimizing pollution and maintaining ecological balance.

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- Equity: Ensuring that the benefits of development are shared by all, including the poor and future generations.

5. What are the criteria for determining the growth of a nation?

To measure the growth of a nation, the following criteria are typically used:

- National Income: The total value of all goods and services produced within a country plus income from abroad.
- Per Capita Income (PCI): Calculated by dividing the total income of the country by its total population. It is the main criterion used by the World Bank.
- Productivity Levels: An increase in the efficiency of labour and technology in various sectors (Primary, Secondary, and Tertiary).

6. Differentiate between rural and urban development.

- Rural Development focuses on improving the quality of life and economic well-being of people living in villages. Key areas include agriculture, rural infrastructure (roads/irrigation), and cottage industries.
- Urban Development focuses on managing the growth of cities. Key areas include modern transport (Metro/Bus), housing, sanitation, and industrial or service sector expansion.
- Objective: Rural development aims to stop forced migration, while urban development aims to handle high population density efficiently.

7. Why do people have different development goals?

People have different development goals because their life situations are different.

- What may be development for one may not be development for another. It may even be destructive for the other.
- For example, a landless rural labourer seeks more days of work and better wages, whereas a prosperous farmer seeks high family income through higher support prices for crops.
- Industrialists may want more dams for electricity, but this may displace tribals living in those areas.

8. What do you mean by economic development of a country?

Economic development is a process whereby a country's real national income increases over a long period. It involves:

- An increase in the standard of living of the general public.
- Reduction in poverty, unemployment, and inequality.
- Structural changes in the economy, shifting from agriculture to industry and services.

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9. Define:

- **Human Development Index (HDI):** A composite statistic used by the UNDP to rank countries. It is based on three major indicators: Life Expectancy (Health), Literacy Rate/Gross Enrolment Ratio (Education), and Per Capita Income.
- **Body Mass Index (BMI):** A measure used to determine the nutritional status of adults. It is calculated by dividing a person's weight in kilograms by the square of their height in meters:

$$\text{BMI} = \frac{\text{Weight (kg)}}{(\text{Height (m)})^2}$$

- **Per Capita Income:** Also known as average income, it is calculated by dividing the total income of a country (National Income) by its total population. It is the primary tool used by the World Bank to compare countries.
- **Birth Rate:** The number of live births per 1,000 people in a population over a specific period, usually one year.
- **Literacy Rate:** The proportion of the literate population in the 7-and-above age group. A person is considered literate if they can read and write with understanding in any language.

10. What does exhaustion of natural resources cause?

The exhaustion of natural resources, such as crude oil or groundwater, causes:

- **Environmental Crisis:** Leads to ecological imbalance and global warming.
- **Economic Setback:** Increased costs of production as resources become scarce and expensive to extract.
- **Threat to Future Generations:** Lack of resources will lower the quality of life and limit the development possibilities for those who come after us.

11. 'Conflicting goals can also be developmental goals'. Give examples.

- **Dams:** Industrialists want large dams for more electricity, but this submerges the land and disrupts the lives of local tribals who are displaced.
- **Wages:** A worker seeks higher wages to improve their standard of living, but an employer wants to keep wages low to minimize production costs and maximize profits.
- **Land Use:** A farmer wants to keep their land for agriculture, while the government may want to acquire that same land to build a highway or a "Special Economic Zone" for industrial growth.

12. 'Money cannot buy all the goods and services that one needs to live well'. Justify.

Money cannot buy a pollution-free environment, protection from infectious diseases, or intangible values like freedom, security, and respect. Since human well-being depends on both material goods and non-material factors like social equality and public health, income alone is an inadequate measure of a high quality of life.

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13. Why is sustainable development important?

Sustainable development is crucial because it ensures that current economic progress does not exhaust natural resources or damage the environment, thereby preserving the ability of future generations to meet their own needs and maintain their quality of life.

14. 'What may be development for one may not be development for others'. Explain with a suitable example.

Different people have different notions of development because their life situations vary. An improvement for one group can sometimes be harmful to another.

Example: The Construction of a Large Dam

- For the Industrialist: It is development because it provides cheap hydroelectric power and water for factories.
- For the Displaced Villager: It is a disaster. Their homes are submerged, their livelihoods (farming/fishing) are destroyed, and they are forced to migrate to slums in cities.
- Conclusion: Therefore, the dam is "development" for the urban elite but "distress" for the rural poor.

- The End -